KRN Heat Exchanger and Refrigeration Ltd

Concall-Tracker report | Ticker: KRN (NSE / BSE) | Sector: HVAC & refrigeration components

Quarter: Q1 2027 · Newest call read: Q1 FY27, 14 Aug 2026 · Figures in ₹ crore; consolidated unless marked standalone

1. Snapshot

What the business does: KRN makes heat-exchanger coils, the finned copper and aluminium tubes that move heat inside air-conditioners, data-centre cooling units, bus ACs, cold rooms and fridges. It sells them to equipment makers like Daikin and Schneider, and is now also selling complete bus AC units and railway coolers. It listed in October 2024.

FY26 revenue	₹610 cr, up ~38% *- sales grew by more than a third.*
FY26 net profit	₹76 cr, up ~45% *- profit grew nearly by half.*
Q1 FY27 revenue	₹252 cr, up 119% (standalone ₹182 cr, up 59%) *- more than double a year ago; the new plant (in the subsidiary) did about ₹115 cr of it.*
Q1 FY27 net profit	₹32.9 cr, up 165% *- profit nearly tripled.*
Q1 FY27 operating margin	19.4% vs 15.3% *- out of every ₹100 of sales about ₹19 is operating profit; the slide we flagged last time reversed.*
QIP share sale	₹350 cr raised 1 Jun 2026 at ₹1,060 a share *- new shares cut the promoters' stake from 70.8% to 65.7%; it's the dilution we warned about, though smaller than the ₹500 cr ceiling.*
Debt	Small; ~₹3 cr interest a quarter, expected to fall *- the QIP cash is meant to cover working capital for two years.*

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY25 → Q3 FY26 (6 calls)	Nov 2024 → Feb 2026	Carried forward from Q4-2026 report
Q4 FY26 (prior boundary)	15 May 2026	Covered in Q4-2026 report
Q1 FY27 ★	14 Aug 2026	Newly deep-read in full

Eight calls in all, the company's full history since listing (about two years). Only the Q1 FY27 call was read in full this quarter; the backstory comes from the prior report.

Latest concall highlights - Q1 FY27 (14 Aug 2026)

- **Sales doubled, margins came back.** Revenue ₹252 cr (+119%), operating margin 19.4% (from 15.3%) *- the new plant is finally pulling weight and the margin worry eased.*
- **Exports jumped.** Overseas sales up 177% to over ₹50 cr, now ~21% of revenue (from ~16%); new data-centre customers in North America and Europe *- the export push is real this time, even with the UAE slowed by the war and a fourfold jump in freight costs.*
- **FY28 target held.** ~₹2,000 cr revenue at 80% use of the new plant: "Still same." FY27 export target ₹200 cr, double last year *- a big ask, but Q1 is on pace for the export part.*
- **New lines moving slowly.** Bus AC runs at ₹5-6 cr a month; a large MOU customer starts supplying next month, with most bus AC revenue in Q3-Q4. Railways: L1 in a CLW loco oil-cooler tender (~₹8 cr share), oil coolers targeted at ₹40 cr this year *- the ₹150 cr bus AC goal needs a sharp H2.*

• **Tone:** upbeat, plain-spoken, light on numbers ("I don't have that data") when pressed on details.

Business mix & capacity

Domestic vs export (Q1 FY27): ~79% India / ~21% exports *- still mostly Indian, but the export share moved up a notch.*
Capacity: old KRN Heat plant full; the new Neemrana plant (KRN HVAC) did ~₹115 cr in the quarter. Management didn't give a utilization % this call; the plan is still 50% in FY27 and 80% in FY28. A small Bangalore plant (10-15% extra, mainly to serve southern customers) and a bus AC / railway site are planned, ~₹100 cr total within a year.

Since our last report ★ (builds on the Q4-2026 report, call of 15 May 2026)

Prior verdicts: **Trigger YES · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	6x plant built, only 15-20% used	Sales doubled; new plant did ~₹115 cr in a quarter	**Improving**
Consistency	Delivers growth, misses specifics	Growth and margin delivered; bus AC behind the run-rate needed	**Improving**
Margin slipping	Fell to ~13% standalone	Consolidated 19.4%; "20-plus" talked of at scale	**Improving**
₹500 cr share sale / dilution	On the table	₹350 cr raised; promoters down to 65.7%	**Happened, smaller**
Exports (target missed)	Stuck at ~16%	~21%, +177%, on pace for ₹200 cr	**Improving**
Working capital bloat	Normalise in 2-3 quarters	Not addressed directly; QIP cash covers it for two years	**Unclear**

Verdict change: trigger unchanged at YES, now with clearer proof. Consistency stays MAYBE: one strong quarter doesn't erase the slipped plant timeline and the funding U-turn, but this call moved in the right direction.

3. Earning Trigger thesis

The trigger: filling a plant six times bigger than the old one

KRN built a much larger factory and added new products: data-centre coils, bus ACs, railway coolers, fridge parts. Now it has to fill it. Q1 FY27 is the first quarter where that clearly showed: sales doubled, the new plant did nearly half the revenue, margins recovered and exports took off on new data-centre customers abroad. Management still aims for ~₹2,000 cr of sales in FY28. The QIP money means it can fund the working capital that growth eats without borrowing.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
New Neemrana plant ramp	50% use in FY27, 80% in FY28 (~₹2,000 cr)	~₹115 cr from the new plant in Q1; group sales +119%	FY27-FY28	**Strong**	↑ now in the numbers
Data-centre cooling	Heat exchangers stay even as liquid cooling spreads	New US and Europe data-centre customers drove the export jump	Now	**Strong**	↑ now global

Exports	₹200 cr in FY27; 50% of fin-and-tube in 2-3 years	₹50 cr+ in Q1 (+177%); UAE weak	FY27	Moderate	↑ was weak, now on pace
Bus AC	15% share, ₹150 cr in FY27	₹5-6 cr a month; big MOU supplies start Sep	H2 FY27	Moderate	↓ behind the pace needed
Railways	Oil coolers ₹40 cr FY27; full coach HVAC FY28	L1 in CLW tender; HVAC team hired	FY27-FY28	Unproven	unchanged
Incentives (PLI, RIPS)	PLI claim after ₹400 cr fin-and-tube sales	RIPS certificate received; PLI apply in Q3/Q4	FY27	Moderate	unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY25	New plant sample production Apr 2025, mass from Q2 FY26	Slipped; fully inaugurated Mar 2026	Partly (late)
Every call	Fast revenue growth	FY25 +40%, FY26 +38%, Q1 FY27 +119%	Delivered
FY25 calls	~19-20% operating margin	Fell to ~13-18% in FY26; back to 19.4% in Q1 FY27	Late, now recovering
Q4 FY25	Exports 30-35% of sales by FY26	~16% in FY26; ~21% in Q1 FY27	Missed / reset
Early calls	Fund growth from IPO money and profits	₹350 cr QIP done Jun 2026	Reversed
Q4 FY26	Bus AC ₹150 cr in FY27	Running at ₹5-6 cr a month; ramp pushed to Q3-Q4	Too early, behind
Q4 FY26 → FY28	~₹2,000 cr at 80% use	Reaffirmed; Q1 run-rate ~₹1,000 cr a year	Too early

Narrative drift: the core story hasn't changed in eight calls: build big capacity, spread across data centres, buses, railways and exports, then fill it. What's changed is that it's now showing up. The record still has dents, though: the late plant, the margin dip, the reset export target and the share sale they once said they wouldn't need. Management is candid in tone but often can't give the number when asked, which makes it harder to hold them to targets.

5. Bottom line

Durable earning trigger? → YES (vs last quarter: unchanged)

This got a lot firmer. Last time the trigger was a mostly empty new plant and a promise. This quarter the plant did nearly half of group sales, total revenue doubled, margins recovered to almost 20% and exports took off on new data-centre customers. The FY28 target still needs another doubling from here, but the driver is clearly working.

Management consistent? → MAYBE (vs last quarter: unchanged, improving)

A good quarter for their credibility: growth, margins and exports all moved the way they said. But the record still carries a late plant, a missed export target, and a self-funding promise that ended in a ₹350 cr share sale. Bus AC is already behind the pace its FY27 goal needs. Two or three more quarters like this one would earn a YES.

Prepared from eight earnings calls (Q2 FY25 to Q1 FY27); only the Q1 FY27 call (14 Aug 2026) deep-read this quarter. QIP details from exchange-filing coverage (Whalesbook, Kotak Neo). Calls after 30 Sep 2026 excluded. Not investment advice.